TCS | Financial Statement Analysis

Scope and source

Tata Consultancy Services Limited (TCS); consolidated, financial years ended 31 March 2025 and 31 March 2026. Source: TCS Integrated Annual Report 2025-26 (Financial Capital section). All INR values in crore unless noted. This analysis uses selected published metrics rather than reproducing all statements.

Profit and loss performance

Revenue: INR 255,324 crore (FY25) to INR 267,021 crore (FY26), growth 4.6%. Operating profit: INR 62,165 crore to INR 66,838 crore, growth 7.5%. Operating margin improved from 24.3% to 25.0%, or about 70 basis points. TCS reported a 2.4% decline in constant-currency revenue, an important counterpoint to reported INR growth.

Per-share profitability and cash flows

EPS: INR 134.19 (FY25) to INR 145.99 (FY26), an 8.8% rise. Operating cash flow: INR 48,908 crore to INR 52,094 crore, growth of approximately 6.5%. Operating cash flow is positive and sizeable, but it should not be confused with net profit.

Balance sheet interpretation

A balance sheet reports assets, liabilities and equity at a date. For a full solvency/liquidity review, compare current assets, current liabilities, debt, and equity in the audited consolidated balance sheet. Those line items are not transcribed here; accordingly no current ratio or debt-to-equity figure is claimed.

Conclusion

TCS delivered modest reported revenue growth with stronger operating profit and EPS growth, reflecting improved margins. The divergence between INR and constant-currency revenue growth is material. Further review should cover segment trends, balance-sheet movements, exceptional items and cash flow statement reconciliation.

Official source

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf